

Plan for the Day

- Today: Estate Planning Basics
- Reminders:
 - Next week is our last class!
 - Possible Guest Speaker at next class
 - Possible Topics: Onboarding at new job and/or Real Estate Investing
 - Course Evaluations
 - Final Project:
 - Personal Budget (You will use some information from the Personal Tax Effects Life Application Activity.)
 - Overall Reflection in Form of What you would share with Friends. Be sure to clearly and completely document understanding
- Evaluations
 - The Week 14 feedback survey linked in canvas is separate from the university online evaluation. Please do both..

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Estate Planning Basics

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Estate Planning...

Is for Everyone



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Disclosure

Today's discussion may evoke feelings of sadness and/or stress. Thinking of one's own death often makes individuals emotional. Thinking of one's own death also make evoke feelings of loss of others close to us. Please respect and support your classmates.

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What would you be most concerned about if you were to unexpectedly die tomorrow?



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If you were in a severe accident and fell into a vegetative state, would you want to be kept alive on machines?



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No Documents --->No Choice

- If you die without a will, you die "intestate."
 - State governs your estate. (In Ohio: Revised Code 2105.06)
- If you fall into a persistent vegetative state and have no advance directives nor have designated a health care agent....
 - Most likely you will be kept alive artificially regardless of what your wishes would have been

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Basic Estate Planning Documents

- Will
 - Executor
 - Guardian for minors
- Durable Power of Attorney (Financial)
- Health Care Power of Attorney
- Living Will

Other Documents

- Trusts (Names Trustee)



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Asset Transfers

- By Will
 - Probate process
- By Contract (Supersedes the Will)
 - Beneficiary designation
 - Retirement Accounts
 - Life Insurance
 - Can name for cars, real estate bank accounts, etc
- By Trust
- By Law
 - Title / Ownership
 - Joint with right of survivorship vs Joint tenants in common
 - Real Estate, Bank Accounts, etc.
 - Intestate



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What is Probate?

Why do people want to avoid probate?

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Where?

- Make sure someone knows where your documents are.
- Attorney, financial advisor, named POAs should have copies of respective documents.
- Consider a comprehensive "Permanent" and/or "ICE" file – waterproof, fireproof
 - Estate Planning Documents
 - Insurance Benefits/Policies (Health, Life, etc)
 - Ownership Proof of Assets (titles, deeds, etc)
 - Tax Returns
 - Marriage license
 - Divorce documents
 - Military paperwork
 - List of credit cards

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Estate Tax Basics

- Generally, unlimited transfers to spouse without gift or estate tax (caution: limits for non-US citizens)
- Annual Gift Exclusion
 - How much can you give away each year without being subject to gift tax? \$18,000 in 2024 (\$19,000 in 2025)
 - Amounts paid directly to medical and educational institutions are NOT gifts for gift tax purposes.
- Applicable Exclusion Amount
 - How much can you give away without paying federal estate tax: (\$13.99M in 2025, \$7M in 2026 unless law changes)
 - Some states have a state estate tax – exclusion amount is much lower than federal – you may owe state estate tax but not federal estate tax.
- Charitable transfers to qualified charities reduce taxable estate.

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Life Insurance

- Can provide funds for multiple reasons in case of death
 - Burial Costs
 - Education Costs
 - Pay off debt
 - Provide living needs for surviving spouse/family
- Many employers provide a basic level of group term life insurance for all employees (benefit not available after you leave that employment)
- Policy Value included in owner's estate for estate tax purposes (if large estate, consider setting up without the wealthy individual as owner - such as a life insurance trust)
- IMPORTANT: Review beneficiary designations periodically so funds go where you want if something were to happen.

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Basic Estate Plan – HOW?

Can I do it myself?

Is an attorney necessary?

Documents must follow state specific laws.

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Stuff you may not have thought about

- What about your digital assets?
 - Photos, social media, entertainment / music, airline miles
 - Access for loved ones / Passwords ?
- What about your pets?
 - Wills go through probate so could be some time before an executor takes any action

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My Recommendations

- Communication is key.
 - Verbal
 - Written
- Get organized.
 - Permanent or "ICE" (in case of emergency) file.
 - Tell someone where it is!
- Review your documents every few years. Are they in line with your wishes? Remember these documents can be changed as many times as you need during life.
